

[*510] *4. **Person not a trader might create trust for payment of debts.**—

Under the old bankruptcy laws, a broad distinction was made between non-traders and traders. If the settlor was *not a trader* he was not amenable to the bankrupt laws, and therefore was at perfect liberty to dispose either of the whole (a) or of *part* of his property (b), for payment of *all* (c), or *any number* of his creditors (d). The argument formerly urged for the invalidity of such a trust was that 13 Eliz. c. 5 (e) avoided “all alienations contrived of *fraud*, to delay creditors and others of their just debts,” &c. But with respect to a trust for the satisfaction of creditors *generally*—“How,” said Le Blanc, J., “can it be fraudulent for a person not the object of the bankrupt laws to make the same provision voluntarily for the benefit of all his creditors which the law compels to be done in the case of a bankrupt trader?” (f); and if the settlor direct the payment of *particular* debts only, “It is neither illegal nor immoral,” said Lord Kenyon, “to prefer one set of creditors to another” (g). Nor did the creation of such a trust fall within the scope of the Act; for “it is not every feoffment, judgment, &c.,” said Lord Ellenborough, “which will have the *effect* of delaying or hindering creditors of their debts, &c., that is therefore fraudulent within the statute; for such is the effect *pro tanto* of every assignment that can be made by one who has creditors: every assignment of a man’s property, however good and honest the consideration, must diminish the fund out of

(a) *Ingliss v. Grant*, 5 T. R. 530; *Nunn v. Wilsmore*, 8 T. R. 528, *per* Lord Kenyon; *Pickstock v. Lyster*, 3 M. & S. 371; *Leonard v. Baker*, 1 M. & S. 251; see *Meux v. Howell*, 4 East, 1. As to what property will pass by general words in a creditors’ deed and whether the trustees can disclaim any part which is a *damnosa possessio*, see *How v. Kennett*, 3 Ad. & Ell. 659; *Carter v. Warne*, Moo. & Ma. 479; *West v. Steward*, 14 M. & W. 47.

(b) *Estwick v. Caillaud*, 5 T. R. 420; *Goss v. Neale*, 5 Taunt. 19; see *Meux v. Howell*, 4 East, 1.

(c) *Meux v. Howell*, 4 East, 1; *Ingliss v. Grant*, 5 T. R. 530; *Pickstock v. Lyster*, 3 M. & S. 371; *Leonard v. Baker*, 1 M. & S. 251.

(d) *Estwick v. Caillaud*, 5 T. R. 420; *Nunn v. Wilsmore*, 8 T. R. 528, *per* Lord Kenyon; *Goss v. Neale*, 5 Taunt. 19; *Wood v. Dixie*, 7 Q. B. 892.

(e) Perpetuated 29 Eliz. c. 5.

(f) *Meux v. Howell*, 4 East, 9.

(g) *Estwick v. Caillaud*, 5 T. R. 424; [*Alton v. Harrison*, 4 L. R. Ch. App. 622; *Boldero v. London and Westminster Discount Company*, 5 Ex. D. 47.]